

Ultra Sound Money

Ethereum's Post-Merge Supply Dynamics
& Monetary Premium

121.6M ETH

Supply

\$2,243

Price

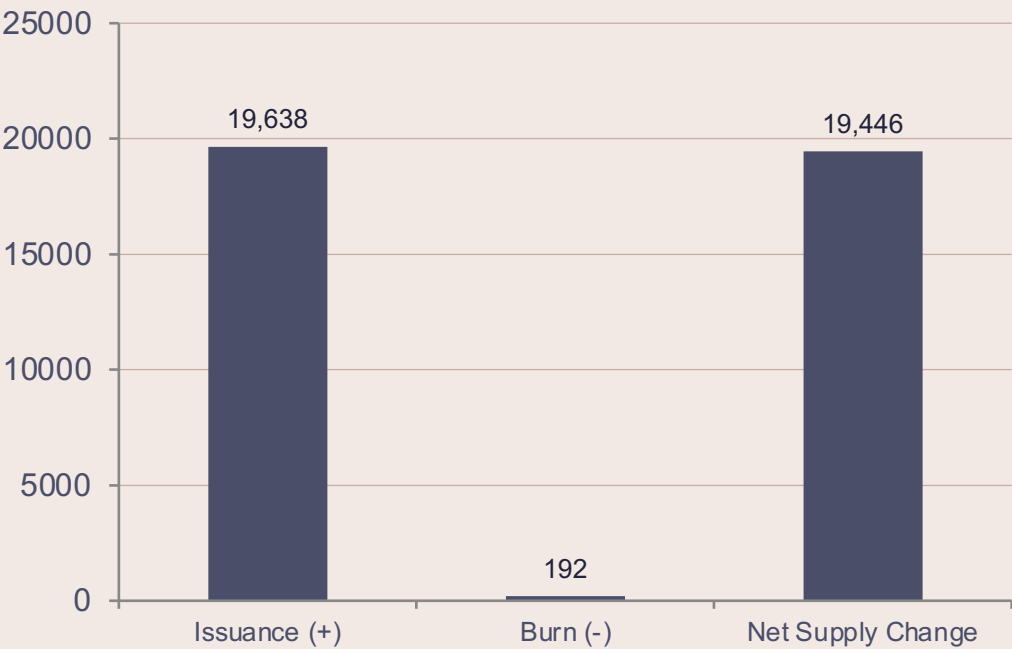
0.1 Gwei

Base Gas

Source: ultrasound.money

ETH Supply Growing at +0.83%/Year

Only 192 ETH Burned in 7 Days — Offset Ratio: 0.01x



Current Supply	121,603,980 ETH
7d Issuance	+19,638 ETH
7d Burn	-192 ETH
7d Net Change	+19,446 ETH
Annualized Rate	+0.83%/yr

Source: ultrasound.money | 7-day trailing data

Base Gas at Historic Lows: 0.1 Gwei Average

EIP-1559 fee burn suppressed — low gas = low burn = temporary supply inflation

7-Day Gas Market (Gwei)



Minimum	0.0 Gwei
Average	0.1 Gwei
Maximum	1.3 Gwei
Equilibrium Target	22 Gwei

Blob Gas (EIP-4844)

Avg blob gas: 7,144,934 wei

7d blob fee burn: 0.15 ETH (\$319)

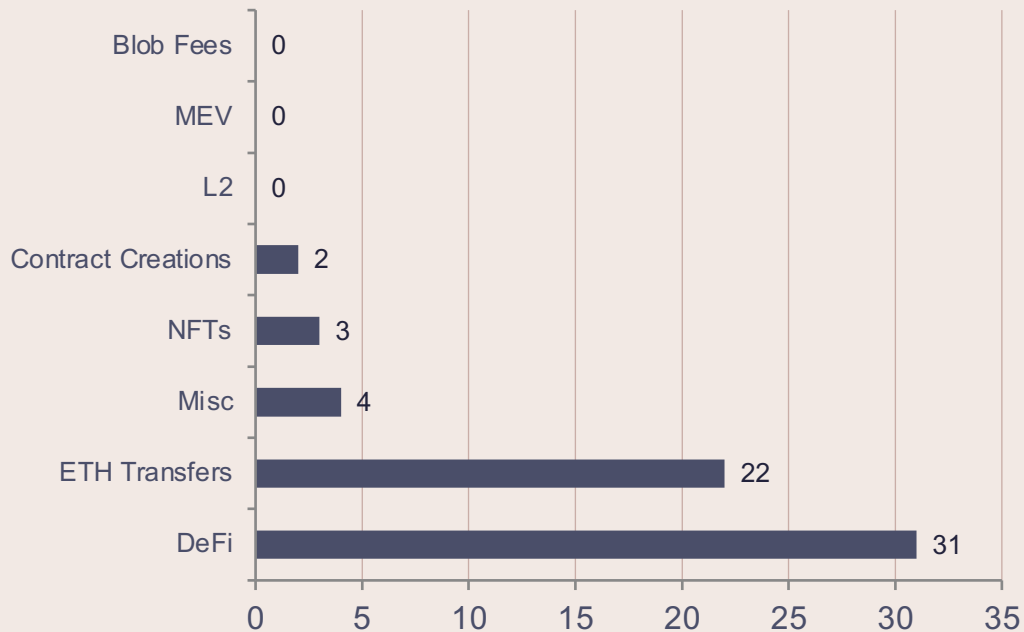
L2 data availability fees are negligible

Key Insight

Current gas (0.1 Gwei) is 220x below the 22 Gwei equilibrium assumption. Deflationary dynamics require a significant recovery in on-chain activity.

DeFi & ETH Transfers: 85% of Weekly Fee Burn

7-day burn categories — total ~192 ETH burned



Top Burners (7d)

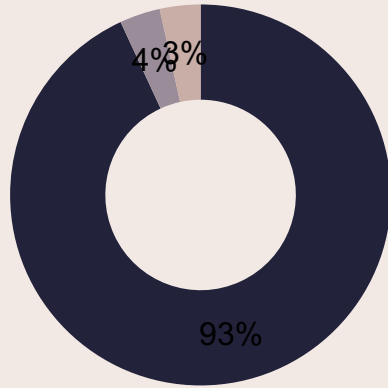
1. ETH Transfers
21.74 ETH
2. Tether (USDT)
13.55 ETH
3. DeFi Contracts
~17 ETH

Recent blocks burn 0.00–0.01 ETH each. 7d record: 0.07 ETH in a single block.

38.9M ETH Staked — 32% of Supply Locked

Validator rewards driven by protocol issuance, not tips or MEV

Validator APR: ~2.9%



■ Issuance (2.7%) ■ Tips (0.1%) ■ MEV (0.1%)

Total Staked

38.9M ETH

~32% of total supply

Scarcity Lock

9.1M ETH

Avg lock time: 10.7 years

Issuance Reward

0.9 ETH/validator

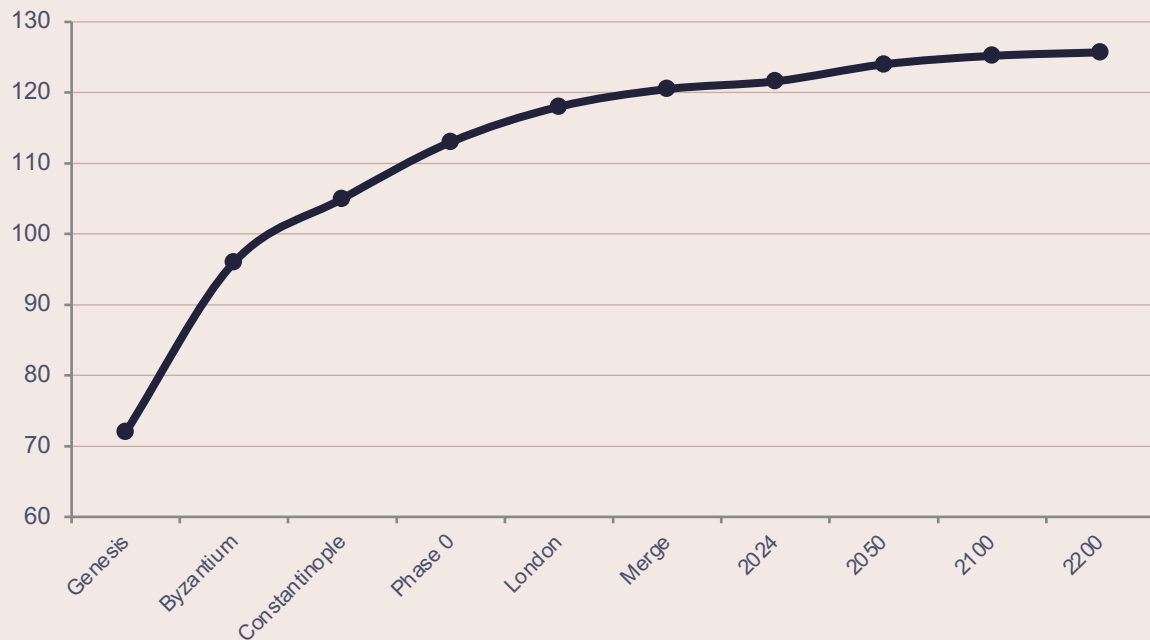
2.7% APR

PoS Daily Issuance

~2,800 ETH/day

Long-Term Equilibrium: 125.7M ETH

200-year projection — issuance and burn converge at ~1,037K ETH/year



Eras: Genesis (5 ETH/block) → Byzantium (3) → Constantinople (2) → Phase 0 → London burn → Merge (PoW removal)

Source: ultrasound.money

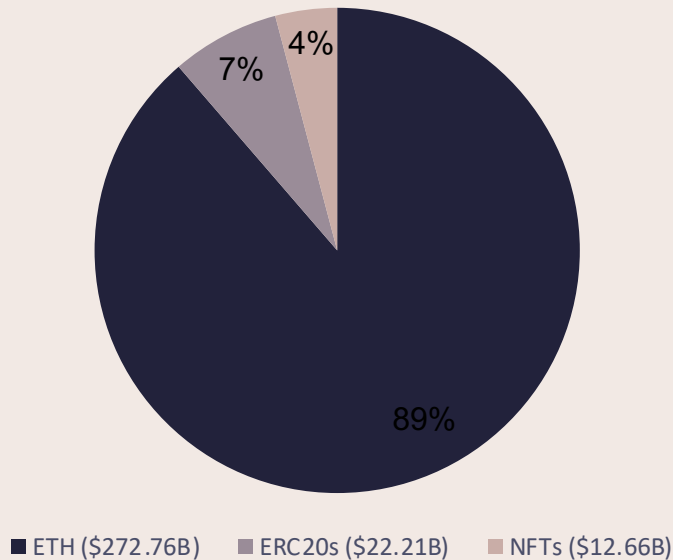
Model Assumptions

ETH Staked	39M ETH
Base Gas	22 Gwei
PoS Issuance	2,800 ETH/day
Fee Burn	~2,200 ETH/day
Equilibrium	125.7M ETH
Eq. Issuance	1,037K ETH/yr
Staker Reward	2.7%/yr
Non-Staker Burn	1.2%/yr

ETH at 18.7% of Bitcoin's Market Cap

Securing \$307.6B in total value — growing but early monetary premium

Total Value Secured: ~\$307.6B



Flipping Progress



Notable Assets Secured

Dai: \$4.41B | SHIB: \$3.51B
Cronos: \$2.97B | Tether Gold: \$2.65B
CryptoPunks: \$2.13B | BAYC: \$0.68B
ENS: \$0.63B | Pudgy Penguins: \$0.51B

Key Takeaways

Ultra Sound Money Thesis: Intact but Gas Activity Is the Critical Variable

01 Mild Inflation at +0.83%/yr

Historically low gas fees (0.1 Gwei avg) suppress burns. Only 192 ETH burned vs 19,638 issued in 7 days — offset ratio just 0.01x.

02 Burn Mechanism Works — Needs Activity

EIP-1559 fee destruction is proven but requires sustained on-chain activity. DeFi and ETH transfers dominate 85% of current burn.

03 38.9M ETH Staked Creates Supply Lock

32% of supply locked in PoS. 9.1M ETH in staking contracts with avg 10.7-year lock. Validators earn ~2.9% APR.

04 Equilibrium at 125.7M ETH Is Structurally Sound

200-year model converges at 39M staked + 22 Gwei gas. Issuance and burn balance at 1,037K ETH/year.

05 \$307B+ TVS & Growing Monetary Premium

18.7% of Bitcoin's market cap. Over \$307B in total value secured across ETH, ERC20s, and NFTs.

The ultra sound money thesis is structurally intact — gas activity recovery is the catalyst.